



Central Bank
of Armenia

2025 Q2

Transparency
Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

June 17, 2025

Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan, Hovhannes Khachatryan; Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

On June 17, the Board meeting began with a presentation by the Monetary Policy Department team on the current economic situation and underlying conditions in the global and domestic economies. The discussion covered developments in the external environment, inflation, real economy, fiscal and financial sectors, as well as the monetary sector. A variety of scenarios derived from different risks and uncertainties were examined, highlighting the sources of uncertainties and risks related to monetary policy. Comprehensive studies and analyses of the current economic situation and fundamental conditions in both external and domestic economies are presented in greater detail in Part B of the Monetary Policy Statement, as well as in Part B of the first chapter of the Monetary Policy Report.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to address the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. The Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to follow a gradual loosening path over the next eight decisions.

In this context, the Board has considered scenarios where underlying developments may require a policy interest rate higher than current market expectations (Case A-type scenarios). These developments suggest risks of prolonged elevated inflation in goods and services with sticky prices in major economies, the broadening of inflationary pressures in individual countries—particularly in the United States—and the potential anchoring of interest rates at high levels over the long term. Such scenarios are mainly associated with a more expansionary fiscal stance in the United States and, in that context, the prospect of increasing debt, the tightening of external trade policies by advanced economies, current global and regional geopolitical developments, the possible resolution of the Russia-Ukraine conflict and the associated risks for Armenia, the formation of a more expansionary fiscal stance in Armenia, an increase in Armenia's country risk premium, and other related risks.

On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These scenarios involve uncertainties and risks related to a further slowdown in global demand and the potential emergence of a deflationary environment in commodity markets, a disproportionate weakening of certain sectors within the domestic economy amid a natural adjustment in external demand, as well as uncertainties and risks regarding the impact on aggregate demand amid adjustments in real estate prices.

In the context of a broader range of risks, the Board members presented their views on the main sources of risks and uncertainties that are crucial for making a prudent policy rate decision at this stage. In particular, they emphasized the importance of minimizing potential losses arising from these risks and uncertainties.

The Board held an in-depth discussion on global economic developments, with particular emphasis on recent trends in US economic policy, identifying the heightened uncertainty surrounding these policies as a key risk factor for the Armenian economy at the current stage. Board members shared the view that the fiscal measures proposed by the US government—specifically, a weakening of tax revenues coupled with a disproportionate reduction in expenditures—may exacerbate the existing challenges related to public debt. These developments could exert upward pressure on long-term interest rates both in the US and globally, including on Armenia's neutral interest rate. In this context, Hovhannes Khachatryan noted that a substantial increase in US public debt may lead to a rise in US risk premiums relative to other countries, including Armenia. Consequently, an increase in the US neutral interest rate may not be accompanied by a parallel rise in Armenia's neutral rate. Conversely, Armen Nurbekyan and Martin Galstyan argued that a significant build-up of public debt is expected across several major economies, implying a broader global increase in long-term interest rates. In this context, given the high uncertainties surrounding geopolitical conditions and economic

policies in the global economy, it is unlikely that emerging market risk premiums will decline relative to those of advanced economies.

The Board also discussed the uncertainties stemming from the recent and sharp escalation of tensions in the Middle East, which may pose risks to the Armenian economy in two directions, depending on the duration and scale of the conflict. Narek Ghazaryan emphasized that the impact of the conflict on the Armenian economy would largely depend on how long it persists. Further escalation or prolonged tension in the region would primarily entail Case A-type risks. In particular, Narek Ghazaryan and Artak Manukyan added that notable concerns include the potential effects on global oil prices, possible disruptions in regional supply chains, capital inflows to Armenia, and the risk premiums of regional economies. Meanwhile, in a scenario of a swift resolution to the conflict, it could even result in deflationary effects, driven by a rapid downward adjustment in oil prices, which had already been on a declining trend prior to the escalation. Hasmik Ghahramanyan added that the intensification of the conflict could have substantial effects on both the supply and demand sides of the economy. Martin Galstyan and Armen Nurbekyan noted that while previously Case B-type risks generally seemed more probable and Case A-type risks more concerning, the likelihood of upward inflationary risks is now also increasing, especially amid heightened geopolitical and regional uncertainties. The Board highlighted the importance of continuous monitoring of the evolving situation.

In discussing developments in the domestic economy, the Board agreed that the supply and demand imbalances in the economy have significantly decreased. Economic growth has somewhat weakened, approaching the estimated long-term equilibrium level; wage growth has stabilized around 5–6%, and core inflation indicators are close to the target level. In this context, Hovhannes Khachatryan noted that while he concurs with the assessment of significantly reduced imbalances, there are still certain signals—particularly the concentration of growth within a small number of sectors—that may point to the presence of a negative output gap in the economy. In this regard, it is also necessary to pay attention to the developments in the more productive and export-oriented sectors to accurately assess the economy's position. According to Armen Nurbekyan, it is important at this stage to focus on the components of potential economic growth, specifically growth in the manufacturing and IT sectors, their nature and stability, as well as the expansion of medium-term capacities, particularly in the context of uncertainties surrounding potential growth. The Board stressed the importance of continuous monitoring of specific sub-sectors within construction and services, emphasizing the importance of managing the risks accumulated in these areas, should they materialize.

Turning to labor market developments, Board members noted that the significant slowdown in private wage growth, along with trends in labor supply and demand, most likely indicates a balancing of the labor market, accompanied by a gradual adjustment in external demand. Regarding fiscal policy developments, the Board considered Case A-type risks more probable and was primarily concerned about them. Davit Nahapetyan particularly emphasized certain risks related to the potential overspending of current expenditures. According to Hasmik Ghahramanyan, given the structure of capital expenditures, their impact on demand may not be substantial, and therefore the influence of Case A-type risks from fiscal policy on the economy is not significant. On the other hand, Armen Nurbekyan highlighted the risks stemming from fiscal policy not so much in terms of current inflationary pressures, but more in the context of rising debt levels and the resulting potential increase in the risk premium.

The Board held a detailed discussion on the recent acceleration of inflation. Although, the Board members believed that the impact of aggregate demand on inflation is neutral and that the acceleration is largely driven by the sharp price increases of a few seasonal food items, their views on future developments varied to some extent. Specifically, Narek Ghazaryan noted that given the stabilization of key indicators of underlying inflation—particularly the non-traded sticky prices—at levels near the target, the current acceleration in inflation is likely to be temporary. At the same time, he pointed out that any new supply shocks, accompanied by relatively neutral demand, may not have significant inflationary effects from the monetary policy perspective. Hovhannes Khachatryan considered this mainly a result of some seasonal distortions in the agriculture sector, which will likely be offset by lower inflation in the coming months. On the other hand, while agreeing with the above points, Artak Manukyan added that, in addition to the high inflation of a small number of food items, there are also signals of accelerating price growth in some services, including air transport. Furthermore, he emphasized that recent regional developments create additional risks in this regard.

Summarizing the expressed opinions and views, in the context of Case A-type scenarios, the Board emphasized the formation of higher neutral interest rates in the US, the current or fundamental increase in Armenia's country risk premiums, and the uncertainties and risks related to regional geopolitical developments. As for Case B-type risks, the Board pointed to the uneven weakening of certain sectors of the economy amid a normal adjustment in external demand, as well as the concerns regarding a weak demand environment forming and deepening in the economy due to the gradual decline (adjustment) of real estate prices, and overall concerns about the outlook for the global economy. The Board noted that uncertainties and risks transmitted from the external sector have significantly increased, driven by the escalation of regional conflicts and uncertainties related to US economic policy.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

As a result, noting the increased prominence of Case A-type risks and emphasizing the importance of managing their potential macroeconomic implications, Board members Martin Galstyan, Armen Nurbekyan, and Narek Ghazaryan assessed, that over the medium term, a higher interest rate path compared to market expectations would be necessary. Artak Manukyan, pointing to the significant intensification of Case A-type risks and the urgency of addressing them, argued that it would be necessary to raise the policy rate already in the current phase. On the other hand, Board members Hovhannes Khachatryan, David Nahapetyan, and Hasmik Ghahramanyan, while agreeing on the increase in Case A-type risks, believed that in the context of persisting Case B-type risks, no immediate policy adjustment was necessary, and that under current conditions it would be appropriate to proceed in line with market expectations. As a result, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged (see Table 1). The Board will continue to monitor economic developments closely and stands ready to take appropriate measures over the medium term to achieve the 3% inflation target and ensure price stability.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
June 17, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Leave unchanged
Artak Manukyan	Increase by 25 basis point
Davit Nahapetyan	Leave unchanged
Hasmik Ghahramanyan	Leave unchanged
Hovhannes Khachatryan	Leave unchanged
Armen Nurbekyan	Leave unchanged
Martin Galstyan	Leave unchanged

B. Final Vote Submissions

June 17, 2025

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Taking into account discussions with fellow Board members during the current policy cycle, recent economic developments, the analysis of underlying fundamentals, and a comprehensive assessment of key risks and uncertainties, I vote to maintain the policy rate at its current level. My decision is driven by the imperative of prudent management of Case A-type risks, which have become increasingly pronounced. Current conditions suggest that the realization of Case A-type risk scenarios has become more probable. My primary concerns in this regard relate to the sharp escalation of geopolitical tensions in the Middle East, the medium-term trajectory of US. fiscal policy, a potential further rise in public debt, and the continued tightening of global trade policies—all of which pose predominantly inflationary risks. With respect to Case B-type risks, Armenia's economic growth has stabilized near its estimated potential. However, given the structural features of the growth composition, there remain uncertainties about the sustainability of this growth, the medium-term outlook, and evolving trends in domestic demand. These, coupled with potential softening in labor market conditions, imply downside risks to inflation. In light of the need to minimize potential losses associated with these uncertainties—and particularly to mitigate the significant macroeconomic implications of the aforementioned Case A-type risks—I support the decision to leave the policy rate unchanged. I reaffirm my readiness to respond promptly and appropriately to any new information or developments that may warrant a reassessment of the risk balance, in order to uphold our commitment to the 3% inflation target and medium-term price stability.

Deputy Governor Armen Nurbekyan

Given recent economic and financial developments in Armenia, discussions with fellow Board members during the policy cycle, and a thorough analysis of key risks and uncertainties, I am voting to keep the policy rate unchanged. Significant uncertainty persists in both external and domestic sectors. In the United States, economic activity remains strong, and notable progress has been made in reducing inflation. However, uncertainty surrounds the long-term neutral interest rate and whether inflation will return to target. Additionally, medium-term projections of large US. budget deficits are likely to exert upward pressure on neutral rates. Recent regional developments have heightened Case A-type risks, notably by raising Armenia's risk premium and, in turn, the neutral interest rate. In other major economies—particularly the EU and China—Case B-type risks dominate due to persistent downside pressures on growth, though some positive signs are emerging in the EU. Domestically, although inflation has picked up, there are no strong signs of demand-driven inflation. Economic activity remains concentrated in services and construction, but no major supply-demand imbalances are currently evident. Credit growth remains strong. While economic activity is still high, it is gradually slowing toward its potential level. Fiscal policy poses a key Case A-type risk: in the short term through demand expansion, and in the medium term through a rising public debt burden that could increase the risk premium. Meanwhile, Case B-type factors in the domestic economy are largely reflected in the gradual return of growth to its long-term trend. A slowdown in the construction and mortgage markets is likely in 2025. In summary, structural factors—both global and domestic—are primarily Case A-type risks, while cyclical dynamics pose Case B-type risks. Regional developments have notably increased both the probability and potential costs of Case A-type scenarios. With the output gap near zero and upward risks to the neutral interest rate, the decision to hold the policy rate steady reflects a careful balancing of these factors, especially the elevated likelihood and costs of Case A-type outcomes should they materialize.

Deputy Governor Hovhannes Khachatryan

Given the current economic developments and risks, I vote in favor of keeping the policy rate unchanged. The main uncertainties related to Case A-type risks are associated with the economic policy pursued by the United States, the stability of public debt, and obstacles to international trade. Another Case A-type risk is the potential deterioration of risk premiums stemming from various geopolitical scenarios linked to the escalation of conflicts in the region. On the other hand, weak external demand resulting from the expected slowdown in economic growth in the EU, China, and the Russian Federation may constrain Armenia's economic activity. There are risks of downward price adjustments in the construction and real estate markets. It is still uncertain whether the current strength of domestic demand can offset the weak external demand. Overall, I assess that the output gap remains in negative territory (though close to zero). The weakening of labor market conditions in Armenia also supports this assessment. In summary, there is a risk of stagflation both globally and in Armenia's economy, which may become more likely and deeper due to

regional tensions. I confirm that, should any new information or events arise that require a reassessment of the risk balance, I am ready to respond promptly and appropriately to ensure the 3% inflation target and the objective of price stability in the medium term.

Board Member Hasmik Ghahramanyan

At the Central Bank Board meeting on June 16, 2025, I voted in favor of keeping the policy interest rate unchanged. My decision was based on the current economic conditions, the policy path implemented in previous periods, my assessment of the economic outlook, and scenario-based evaluations of external and domestic risks—both economic and geopolitical—while remaining committed to bringing inflation closer to the 3% target. The risks stemming from tensions in global trade relations have been compounded by the sharp escalation of the situation in the Middle East. These developments could disrupt value chains and shift supply patterns, posing new challenges. Uncertainty regarding the outlook of US. fiscal policy—and the extent to which it could raise global interest rates—persists from earlier periods. In this environment, major central banks around the world are expected to maintain current monetary and credit conditions. Recent external developments may have a dual impact on Armenia's economy through both demand and supply channels, although these effects remain uncertain and can only be evaluated through judgment at this stage. Domestically, I assess the impact of aggregate demand over the visible horizon as not significantly inflationary. Recent trends in economic activity and labor market data suggest that inflationary pressures from internal factors are unlikely to intensify. The inflation rate above target appears to be driven primarily by short-term supply-side factors. While fiscal policy could become a factor stimulating demand, I currently assess its multiplier effect as limited. Given this context, I consider it important to strike a balance between the risks contributing to inflation volatility. While key macroeconomic indicators are close to their equilibrium levels, both Case A-type and B-type risks remain capable of generating deviations. External developments create both risks and opportunities for Armenia's economy. To maintain this balance and mitigate volatility in the inflationary environment, I voted to leave the policy interest rate unchanged.

Board Member Davit Nahapetyan

Taking into account the analysis presented by the macroeconomic team on economic and financial developments, as well as the detailed discussions held with the Board members regarding the policy interest rate, I vote in favor of keeping the policy rate unchanged. Due to geopolitical developments and regional conflicts, some inflationary pressures on Armenia's economy persist, driven by supply-side factors from international commodity markets. Nevertheless, I believe that disinflationary trends stemming from the decline in external demand are more dominant. Despite the seasonal increase in vegetable prices, inflation remains close to the target, within the permissible deviation range. In the domestic market, on the one hand, the potential decline in real estate prices, and on the other, the increase in the debt burden of various economic agents, entail Case B-type risks. At the same time, the expansionary stance of fiscal policy and rising social expenditures, combined with supply-side pressures from abroad, pose Case A-type risks. Added to this is the possible revision of the country risk premium due to regional developments. In this context, I believe the Central Bank should position its policy within a more neutral range to balance Case A-type and B-type risks. Detailed studies of current economic developments and fundamental conditions lead to the conclusion that the probability of both inflationary and disinflationary risks is currently balanced. The fact that inflation in recent months has remained within the target range is a strong indication of the Central Bank's prudent monetary policy and its success in anchoring inflation expectations. In this light, I consider the decision to keep the policy rate unchanged to be a rational and sensible step that best manages both upside and downside risks. I affirm that, in pursuit of price stability, the Central Bank Board will continue to monitor economic developments and will take appropriate action if necessary.

Board Member Artak Manukyan

In forming an understanding of recent economic and financial developments, I considered various analyses of these trends and assessed the main sources of potential risks and uncertainties. Based on this assessment, I voted in favor of raising the refinancing rate by 25 basis points. At this stage, I assess that the likelihood of Case A-type risks has increased—primarily due to rising regional tensions and the inflationary pressures stemming from potential supply disruptions. Accordingly, guided by the "least regret" principle of risk management, I find it appropriate to adopt a somewhat tighter monetary policy stance than market expectations. In addition to Case A-type risks, the possibility that the US Federal Reserve may maintain elevated interest rates for an extended period ("higher for longer") remains significant. This is further compounded by trade tensions, particularly those associated with the policies of President Trump. In the Eurozone, inflation in services remains above target. However, large-scale planned defense and infrastructure programs could provide an important stimulus to the region's economy, depending on their scale and implementation speed. These factors, combined with possible value chain disruptions, could contribute to further inflationary pressures. Domestically, overall inflation has accelerated and is now above the target level. The main driver of inflation in unregulated services has been the rise in air transportation prices—a trend likely to persist given recent developments in the Middle East and the uncertain duration of the resulting tensions. These regional developments could also lead to logistical

disruptions, negatively affecting inflation expectations. The probability of risk materialization due to the regional situation has increased and is further compounded by rising global uncertainty. This combination could heighten overall risk sentiment, potentially raising Armenia's risk premium—although no actual changes have been observed yet. Considering current inflation dynamics, ongoing economic developments, and their macroeconomic outlook—and guided by a broader view of fundamental conditions—I believe that, at this stage, the increased probability of Case A-type risks and the need to mitigate their impact justify a somewhat tighter monetary policy than the market anticipates. I reaffirm my commitment to the price stability mandate. As a member of the Board, I will continue monitoring economic developments and stand ready to take appropriate measures to ensure that the inflation target (3%) is achieved over the medium term.

Board Member Narek Ghazaryan

Taking into account discussions with other Board members during the policy cycle, current economic developments, fundamental conditions, and a comprehensive assessment of key risks and uncertainties, I vote to leave the policy rate unchanged. This decision is based on a firm belief that several key indicators from a monetary policy standpoint have approached their appropriate stable or target levels. I evaluate potential Case A-type and B-type inflationary risks in terms of their overall impact on balanced inflation. In particular, twelve-month core inflation in May stood at 2.8 percent—close to the Central Bank's target. While economic growth has slowed, it remains near its potential level, suggesting no major inflationary or deflationary pressures from demand in the short term. I also consider the current refinancing rate of 6.75 percent to be close to the neutral level. Despite the decision to maintain the rate, I remain concerned about several medium-term Case A-type risks and inflation scenarios, which, in my assessment, pose greater upside risks to inflation in Armenia than those anticipated by market participants. Specifically, continued or escalating military operations in the Middle East could disrupt trade routes for key commodities and energy products. This would create inflationary pressures in Armenia's consumer market through both direct and indirect channels. Another Case A-type risk stems from the potential for further tightening of US. trade policy and retaliatory measures from affected countries. The ongoing negotiations over the Russia–Ukraine conflict have raised expectations for improved economic activity in Russia, strengthening the ruble and local asset prices. However, sanctions on Russia remain in place. If this situation persists, capital inflows into Armenia are likely to intensify, which could fuel private sector spending and generate inflationary pressures in the domestic economy. Beyond external risks, domestic factors also pose inflationary threats—particularly the potential expansion of fiscal stimulus and the continuation of strong credit growth to households and businesses, which may drive up domestic demand and prices. On the policy horizon, there are also notable Case B-type risks. In the United States, a correction in overvalued asset prices combined with declining business confidence could significantly reduce economic activity. In China, the continued low inflation environment and export-oriented policies could deepen deflationary pressures across several global regions. If a large share of sanctions on Russia were lifted, a reversal of capital inflows to Armenia could follow, dampening economic activity and creating inflationary pressures driven by weakened domestic demand. Domestically, nominal wage growth in Armenia continues to slow, reflecting weaker activity in several sectors. Furthermore, if the real estate market sees a sharper-than-expected decline—previously flagged by the Central Bank—aggregate domestic demand could slow significantly, resulting in deflationary pressures. Weighing these Case A-type and B-type risks, I conclude that keeping the refinancing rate at 6.75 percent is the appropriate course of action to maintain inflation close to the Central Bank's target in the medium term. I reaffirm my commitment to the objective of price stability and confirm my readiness to respond decisively to any new information that poses a risk to achieving the 3 percent inflation target over the medium term.



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